PRIVATE AND CONFIDENTIAL

The Children's Investment (TCI) Master Fund – Q1 2007 Report

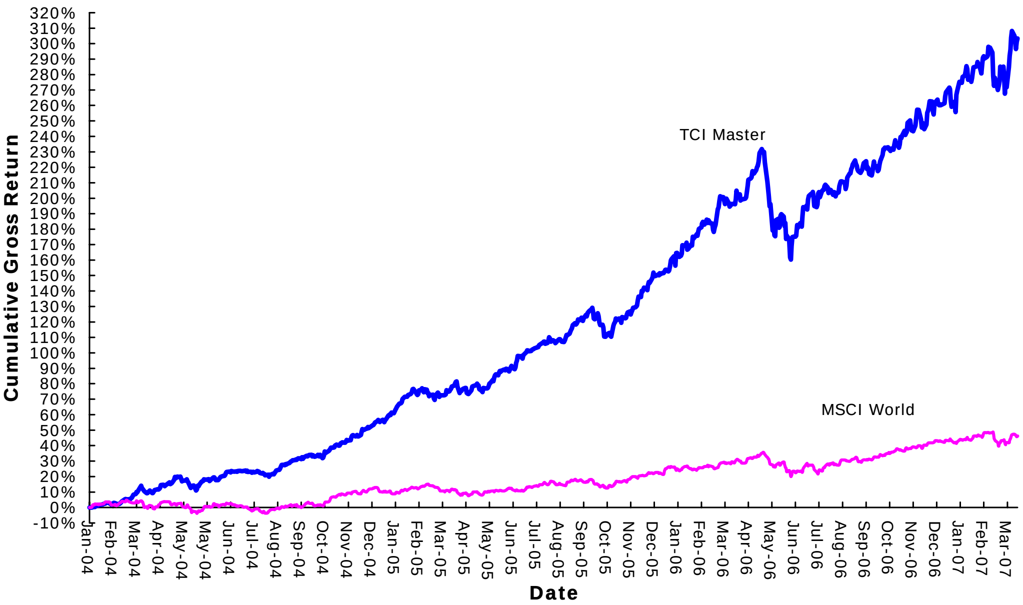
1. Fund Performance

Returns for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

Period	Assets (€m)	Class A (3yr) $	Class A (3Yr) €	Class C (5yr) $	Class C (5Yr) €	MSCI World ($)
Jan 2007	9,460	+2.05%	+1.99%	+2.05%	+1.99%	+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.25%	-1.27%	-0.65%
Mar 2007*	10,145	+6.82%	+6.69%	+6.82%	+6.72%	+1.59%
Q1 2007		+7.65%	+7.43%	+7.65%	+7.43%	+2.06%
Inception Jan 04		+217.89%	+212.85%	n/a	n/a	+46.11%

Sources: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI, The Children's Investment (TCI) Fund Management (UK) LLP; Notes: Class C inception was March 1, 2006. *Estimated internal performance, awaiting final performance from Citco Fund Services (Dublin) Limited.

TCI Master (€) & MSCI World ($) Since Inception



Sources: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI, The Children's Investment (TCI) Fund Management (UK) LLP.

The fund ended the quarter up approximately 7.5% net of fees. On the long side most of our key holdings contributed well to performance. Our short book suffered material losses during the quarter which offset about a quarter of the long gains.

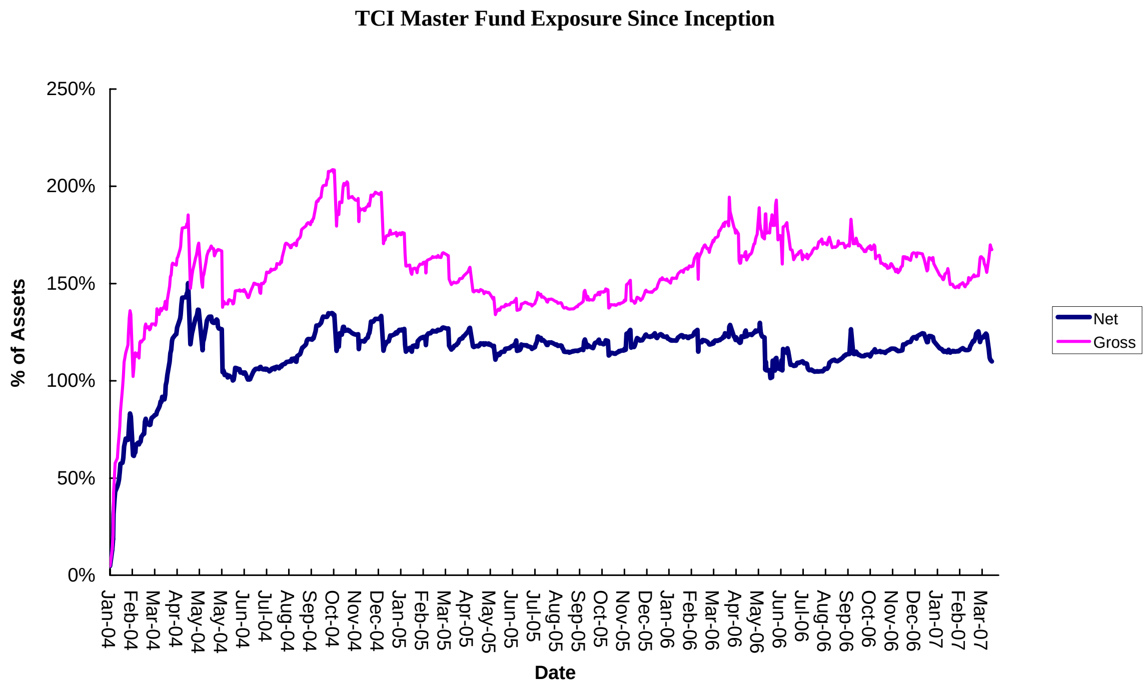
2. Key Fund Data

The gross and net long exposure of the portfolio has remained stable.

a. Exposure Summary

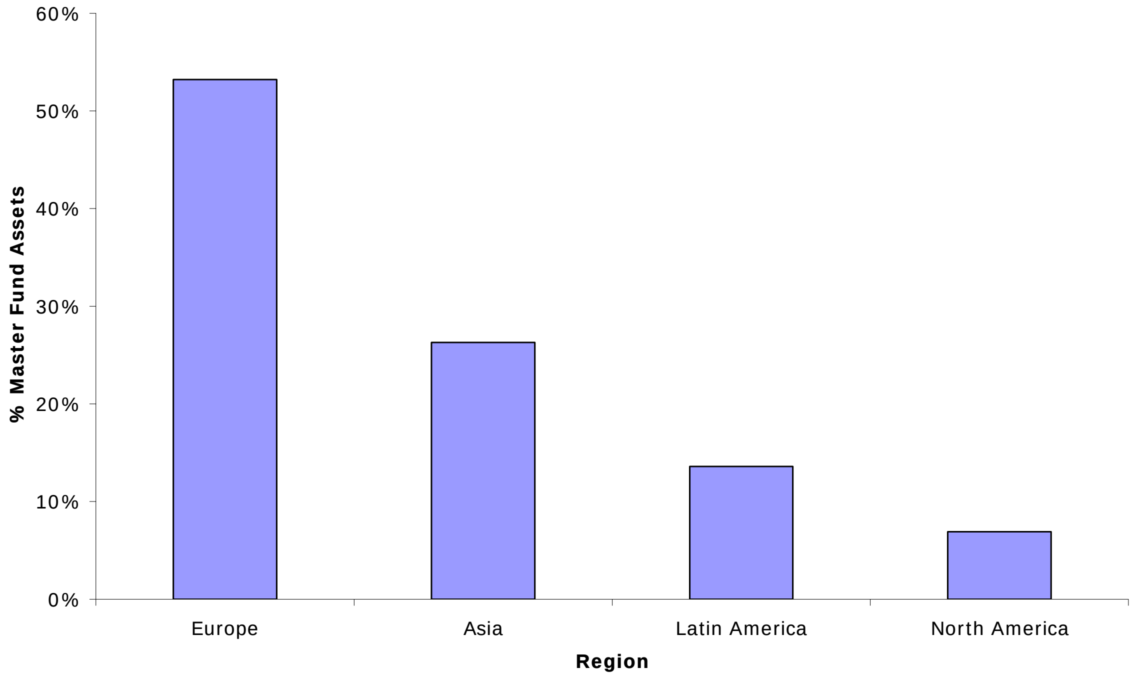
% of Master Fund Net Assets						
Period	Outright Longs	Outright Shorts	Long side Arbitrage and Pairs	Short side Arbitrage and Pairs	Gross	Net
End Dec 2006	131%	-3%	13%	-17%	164%	124%
End Jan 2007	125%	-3%	10%	-16%	154%	116%
End Feb 2007	125%	-2%	9%	-16%	152%	116%
End Mar 2007	132%	-22%	6%	-6%	166%	110%

Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.



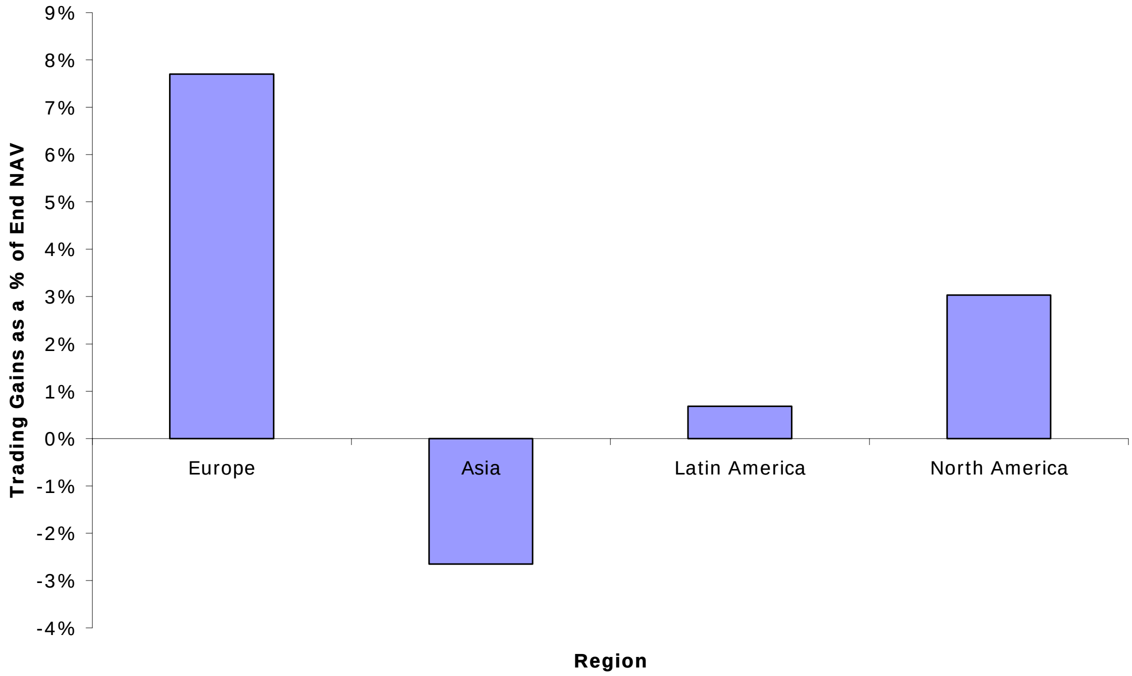
Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

b. Geographic Portfolio Exposure at Quarter-end



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

c. Geographic Split of Gains in the Quarter



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP. Notes: Geographic Asset Split represented as a percentage of 100.

3. Performance Attribution During Q1 2007

Appendix 2 shows the key drivers of performance by position over Q1 2007. Major contributors during the quarter are shown below (total gains include dividends):

- Deutsche Boerse: +3.9% of end NAV (45% of total gains)
- ABN Amro: +3.1% of end NAV (35% of total gains)
- Unnamed US infrastructure: +2.1% of end NAV (24% of total gains)
- Japanese Utilities: +1.4% of end NAV (16% of total gains)
- Link REIT: +1.1% of end NAV (12% of total gains)
- Arcelor Brasil: +0.8% of end NAV (9% of total gains)
- Indian Banks: -0.5% of end NAV (-6% of total gains)
- Short book: -3.4% of end NAV (-38% of total gains)

4. Portfolio Update[1]

- **Euronext**

During the quarter we sold our entire position in Euronext at very good prices. Part of the proceeds were reinvested in Deutsche Boerse which we believe is a superior business at a superior valuation. Euronext in the end made the fund approximately 5x our capital from our first purchase price. It was the very first stock the fund ever bought and we will miss it, although we don't think the management will miss us.

- **ABN Amro**

During the quarter we built a position of 17% of the fund's NAV today in ABN Amro Bank. This represents some 2.5% of the total capital of this company. ABN is an old Dutch headquartered retail and wholesale bank with operations in 50 countries around the world. Its main assets are in the US, Holland, Brazil, Italy and the UK.

The bank has been a terrible investment for its shareholders for the last 5 years since the current CEO took over giving close to zero capital gain over this time until our investment. This has been driven by a flat earnings history over this period partly due to expensive acquisitions and poor management of its assets.

During February we filed five motions for shareholders to vote on for its AGM at the end of April, including the sale or merger or break up of the bank. Two weeks after our motions were filed the company announced that it was in exclusive talks with Barclays PLC regarding a merger of the two companies to create one of the largest banks globally. No formal deal or terms have yet been announced. We believe that other bidders may emerge and are insisting that the chairman of the board allow a fair and transparent process.

[1]Disclaimer: For the purposes of simplicity, investment descriptions are written assuming the TCI Master Fund is a physical shareholder. However, in some cases the position is held in swap.

The stock has appreciated 30% since our first purchases suggesting that the market agrees with the logic of our actions.

- **Deutsche Boerse**

Deutsche Boerse's business continued to flourish during the quarter with Eurex volumes up 25% YTD and the cash market up even more. The company announced plans to reorganise into three divisions under a holding company and leverage the company. Atticus, a 13% shareholder, made a public demand of the management that the company repurchase 20% of the outstanding shares. Separately the CFO resigned from the company. The theme of exchange consolidation continues with a counterbid for Chicago Board of Trades' (CBOT) agreed sale to Chicago Mercantile Exchange (CME) by Inter Continental Exchange (ICE). Deutsche Boerse stock has now appreciated some 20% YTD and it remains the largest position in the fund.

- **US Infrastructure**

We increased our holdings in this sector to some 20% of the fund. We expect to talk in detail about this opportunity at our investor day in June. Needless to say we are excited by the investment but decline to discuss the position at this point as we are still building positions.

- **Indian Banks**

These have performed poorly during the quarter due to a market correction and higher interest rates in India. The fundamentals of the companies continue to be very strong and valuations exceptionally attractive.

- **Japanese Utilities**

During the quarter we announced formal dividend proposals for voting at the AGM's of J-Power and Chubu Electric Power to give approximately a 2% dividend yield if we are successful. These two companies have appreciated strongly this year on the back of a re rating of the sector and a hope by investors that some of the prodigious cash flows of the companies might be returned to investors. Neither company has supported our proposals. J-Power has yet to make its own dividend proposal and Chubu has said that it will move to a 40% payout ratio of earnings. We think that the high foreign ownership of J-Power, this gives us a higher chance of winning in this situation but do not underestimate the potential non-economic behaviour of local investors. We spent a lot of time in Japan during the quarter explaining our strategy and goals to the government ministries in charge of the utilities and to the companies themselves.

- **Arcelor Brasil**

The Brazilian stock market regulator, the CVM, turned down an appeal from Mittal Steel not to buy out the minority shares which we own. Despite the board of the CVM inexplicably cutting the value of the offer, recommended by its technical committee, and Mittal announcing a bid value, which is also lower than we believe is mandated than the board of the CVM itself, we think we are on track to see an offer imminently opened worth over 50 reals per share or 50% above our average cost in the stock. The consideration is 25% cash and the rest in Mittal stock which we believe continues to be undervalued.

❑ **Short Book**

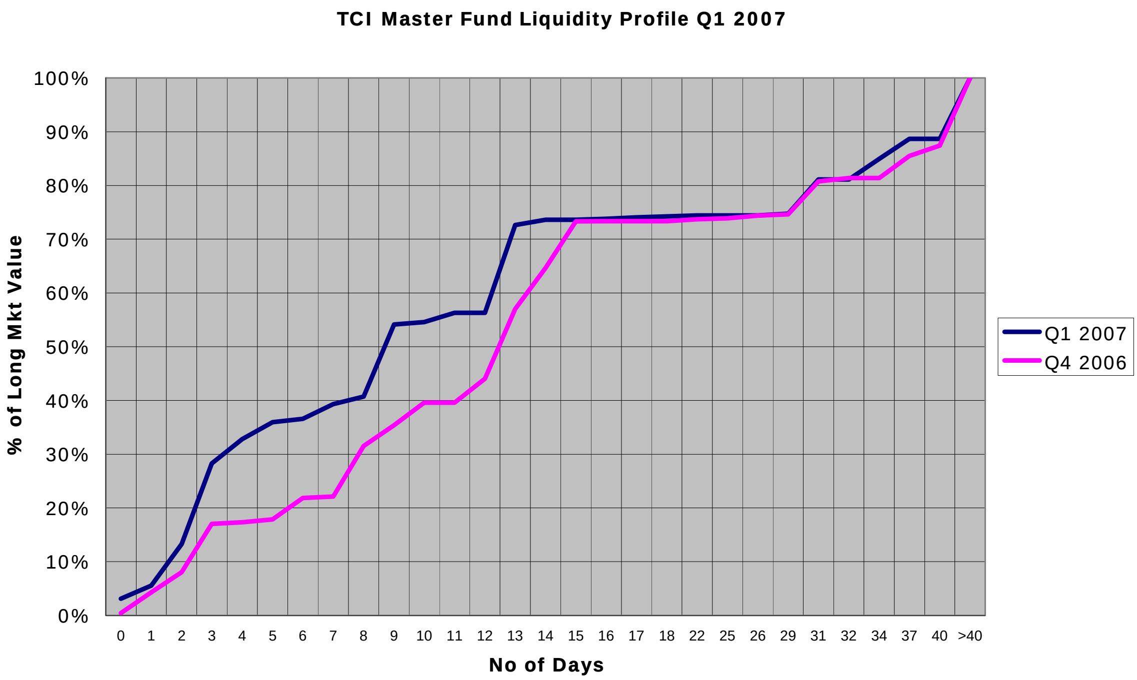
The short book performed very poorly during the quarter losing over 3% of NAV. We have reduced some of the positions in the book for now until we have higher conviction in our expected catalysts.

5. Foreign Currency Exposure

Summary of Unhedged Currency Exposures (% of NAV)	
Brazil	12.0% net long
Mexico (US listed)	1.6% net long
China	2.2% net long
Switzerland	4.1% net long
India	0.6% net long
Indonesia	0.1% net long
TOTAL	**20.6% net long**

Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

6. Liquidity Analysis



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP. Notes: Analysis is based upon long positions only, including the long side of share class arbitrages. Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading.

Liquidity remained relatively stable between Q4 2006-end and Q1 2007-end.

7. The Firm

a. Personnel

Investment Team:

- Shen Li has joined as an analyst to work with John Ho in our Hong Kong office, He was previously with the private equity firm Texas Pacific Group.

- Philip Green will join us as an analyst in London in June. He has been a top rated European utilities analyst for Merrill Lynch and Goldman Sachs in London for 10 years.

Business Management Team:

In February Rob Ottley was promoted to Chief Technical Officer and Co-Head (with Cathy O'Reilly) of the Business Management Team. Rob has done a great job for us in running our operations team last year.

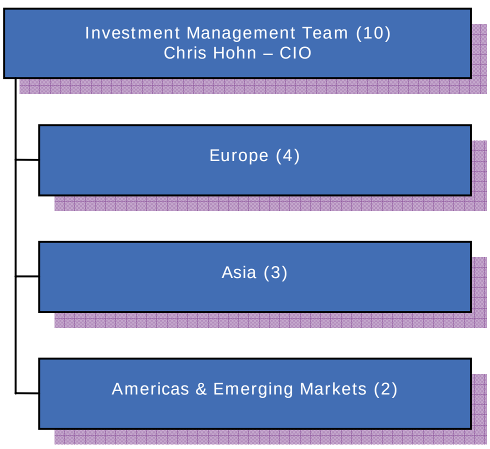
The business was strengthened with a number of additional hires during the quarter.

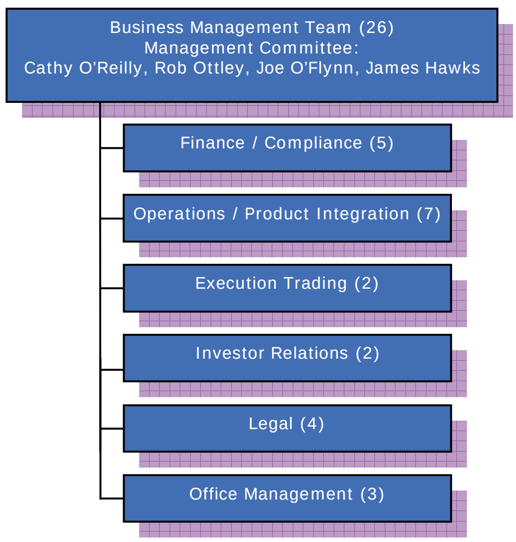
- Legal: A second paralegal – Rebecca Lock – joined our Legal team, taking the team to four – two lawyers and two paralegals.

- Finance: Deborah Gorham, previously at TT International, joined as book keeper. Asif Pabani, formerly with KPMG, joined as an accountant. This takes the Finance/Compliance team to five.

- Risk/Performance Analytics: Liane Evans joined us from Capital International to undertake risk and performance analytics. She will work with Operations, Investor relations and Finance.

- Operations/Product Integration: Paul Willis joined the Operations/Product integration function from HSBC. Paul has 17 years of operational experience.





b. Legal

- SEC Registration

The election to de-register from the SEC was approved on December 20, 2006 and TCI is no longer registered with the organisation.

c. Key Man Feeder

- New Feeder Fund

Last quarter we wrote to you about our proposal to create a new feeder fund through which the Foundation (CIFF) and I, Chris Hohn, would invest in the fund alongside the two existing feeder funds. We are currently in the final stages of this work and will send out a circular to investors shortly.

For reasons we will explain on the call, we are likely (subject to investor's approval) to alter the way in which the annual and monthly charitable donations are made to The Children's Investment Fund Foundation. These changes will be included in the new Offering Memorandum that we expect to send out to investors shortly for their approval. There will be no material change in the aggregate amount of the fees and donations and no material change in the amount of the income received by the Foundation.

Under the proposed change the Fund would cease making annual and monthly charitable donations to the Foundation and the Management Fees would be increased by 0.5% with a further 0.5% payable on the same basis as the Annual Charitable Donation. The Investment Manager will enter into a binding commitment with the Foundation to pay to the Foundation an amount equivalent to the increased fees. This agreement can be terminated if mutually agreed between the Foundation and the Investment Manager and/or the Foundation will be able to exchange its benefits under the agreement for equity.

d. Investor Relations

- Investor Days

TCI and TCI's affiliates will hold their investor days in June at The Pierre Hotel in New York. The dates will be June 18th for TCI Affiliates and June 19th for TCI. "Save the date" details and registration details have already been sent out. Further details will follow in due course. Please contact Rahul if you have any questions.

8. TCI Affiliated Funds[2]

a. Algebris

The Algebris global long/short financials fund was up 16% gross for Q1 2007 (26% gross since its October 2006 inception). The firm now manages $1.3bn of assets and is closed. Algebris will employ further capital should opportunities arise.

[2]Performance for affiliated funds is gross as final NAVs are currently in the process of being calculated.

b. KDA Capital

KDA, the long only absolute return fund focusing on mid- and large-cap European equities, was up 7% gross for Q1 2007, taking its performance to 52% gross vs. 27% for MSCI Europe since its December 2005 inception. The firm's assets are currently $1.3bn. The firm continues to accept limited new capital as they see fruitful opportunities.

c. Parvus

Parvus had a great start to the year by winning the award for the overall "Fund of Year" in Europe at the Eurohedge Awards (held in London in January 2007) based on the performance and sharp ratio of the Parvus European Absolute Opportunities Fund. The fund was up 5% gross for Q1 2007, taking its since inception performance to 154% since its launch in October 2004.

d. TCI New Horizon

TCI and New Horizon have agreed to terminate their business relationship. We have asked the board of the fund to formally communicate with all investors. We will be happy to assist all the fund's investors with any questions.

For information on the TCI and its Affiliates please contact Rahul Moodgal at rahul@tcifund.com or on +44 20 7440 2384.

Conclusion

We thank you for your continued support of TCI.

Christopher Hohn
Managing Partner

April 2007

Appendix 1

Top Long Positions at Quarter End – Q1 2007 Trading Gains/Losses

	% of Master Fund Net Assets	Country	Market Cap ($bn)	Trading Gains/Losses as % of End NAV
Deutsche Boerse	22.2%	Germany	23	3.9%
Unnamed US Infrastructure	20.2%	US	>15	2.1%
ABN Amro	16.6%	Netherlands	87	3.1%
Japanese Utilities	11.5%	Japan	>10	1.5%
Intesa Sanpaolo	11.1%	Italy	101	-0.2%
Link REIT	7.0%	Hong Kong	5	1.1%
Arcelor Brasil	5.3%	Brazil	16	0.8%
TOTAL	**93.9%**			**12.3%**

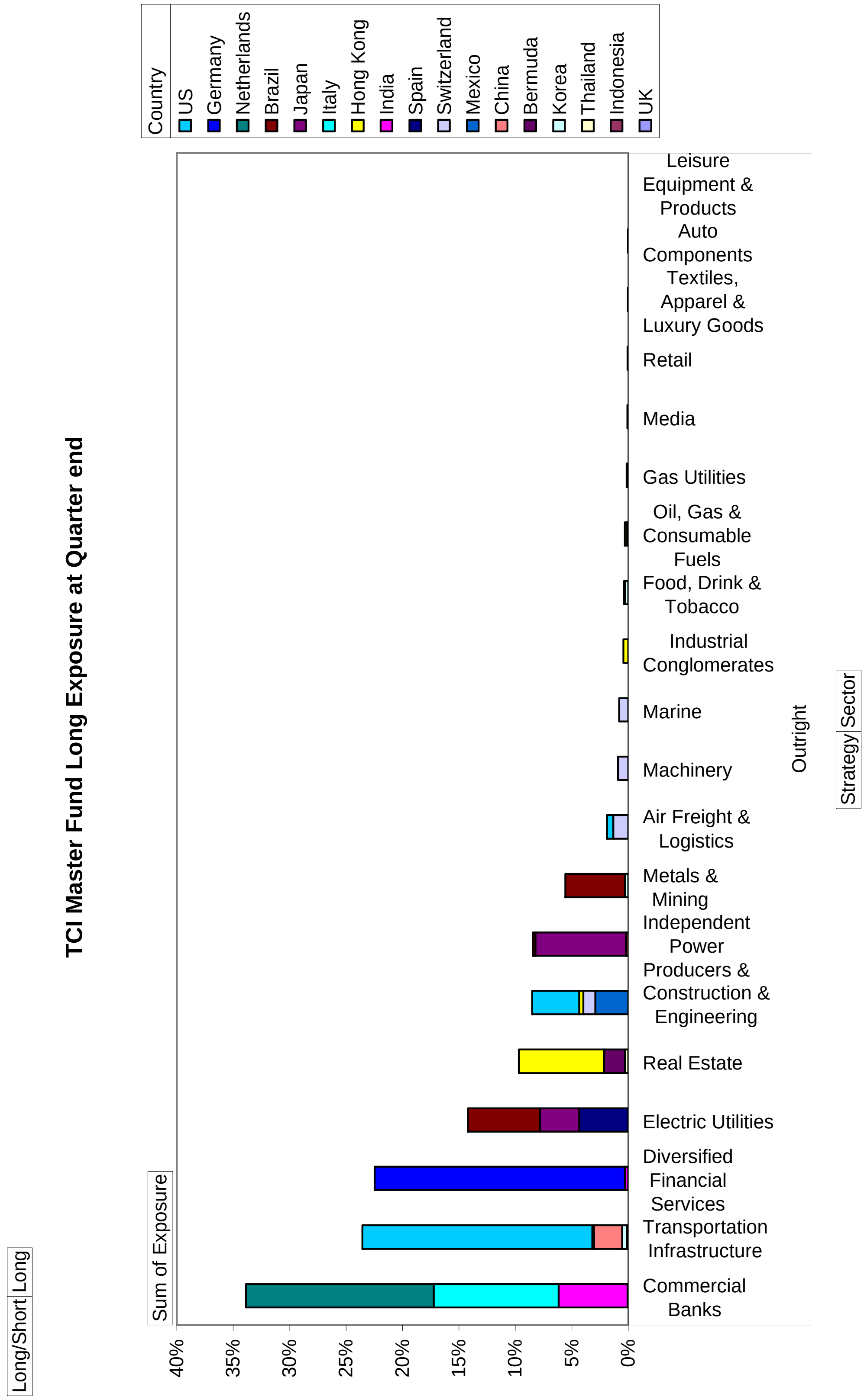
Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

Long Positions Contributing Most to P&L in Q1 2007

	Strategy	Trading Gains as % of End NAV
Deutsche Boerse	Long	3.9%
ABN Amro	Long	3.1%
Unnamed US Infrastructure	Long	2.1%
Japanese Utilities	Long	1.4%
Link REIT	Long	1.1%
Arcelor Brasil	Long	0.8%
TOTAL		**12.5%**

Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

Appendix 2 – Quarter End Sector and Country Exposure



Sources: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

Appendix 3 – TCI Master Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) $	Class A (3Yr) €	Class B (5yr) $	Class B (5Yr) €	Class C (5Yr) $	Class C (5Yr) €	MSCI World ($)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		**+41.95%**	**+43.04%**	**+43.65%**	**+44.39%**			**+12.84%**
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		**+49.66%**	**+48.90%**	**+51.48%**	**+50.68%**			**+7.56%**
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+6.15%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.14%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+1.07%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+4.04%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+1.95%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+8.02%
2006		**+38.99%**	**+36.76%**	**+40.45%**	**+38.08%**	**+24.57%**	**+22.97%**	**+17.94%**
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-0.65%
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Q1 2007		+7.65%	+7.43%	+7.92%	+7.68%	+7.65%	+7.43%	+2.06%
Inception		**+217.89%**	**+212.85%**	**+229.81%**	**+223.60%**	**+34.10%**	**+32.11%**	**+46.11%**